

Liberty Kenya Holdings Plc

The Board of Directors of Liberty Kenya Holdings Plc is pleased to announce the unaudited results of the Group for six months ended 30 June 2020



THINK BUSINESS AWARDS - 2019

Summary Consolidated Statement of Comprehensive Income

	30 Jun 2020 Shs'000	30 Jun 2019 Shs'000	31 Dec 2019 (12 months) Shs'000
Revenue			
Insurance premiums	6,012,711	5,385,253	10,771,164
Reinsurance premiums	(2,587,492)	(1,998,694)	(4,048,265)
Net insurance premiums	3,425,219	3,386,559	6,722,899
Revenue from contracts with customers	554,968	508,328	829,724
Investment income	58,564	32,833	75,102
Interest income on financial assets using the effective interest rate method	231,125	221,442	350,840
Fair value adjustment to assets held at fair value through profit and loss	154,687	1,595,658	3,078,216
Other income	6,768	25,526	29,212
Total income	4,431,331	5,770,346	11,085,993
Claims and policyholder benefits under insurance contracts	(3,468,985)	(2,830,808)	(6,728,680)
Insurance claims recovered from reinsurers	959,757	438,783	1,676,359
Change in long-term policyholder assets and liabilities	776,769	97,019	695,004
Fair value adjustment to policyholder liabilities under investment contracts	(97,118)	(541,080)	(854,456)
Acquisition costs	(744,144)	(686,869)	(1,386,268)
Other operating expenses	(1,556,740)	(1,612,368)	(3,275,308)
Finance costs	(6,572)	(6,186)	(13,272)
Profit before taxation	294,298	628,837	1,199,372
Taxation	38,782	(236,675)	(458,979)
Total earnings for the period	333,080	392,162	740,393
Other comprehensive income/(loss) for the period net of tax	30,734	902	(5,618)
Total comprehensive income for the period	363,814	393,064	734,775
Total comprehensive income attributable to:			
Shareholders' equity	328,066	377,745	698,029
Non-controlling interests	35,748	15,319	36,746
	363,814	393,064	734,775
Basic and diluted earnings per share (Shs)	0.58	0.70	1.31

Summary Consolidated Statement of Financial Position

	30 Jun 2020 Shs'000	30 Jun 2019 Shs'000	31 Dec 2019 Shs'000
Capital and reserves			
Ordinary shareholders' equity	8,096,334	7,715,477	7,768,268
Share capital	535,707	535,707	535,707
Share premium	1,490,480	1,490,480	1,490,480
Other reserves	6,070,147	5,689,290	5,742,081
Non-controlling interests	300,372	296,726	264,624
Total equity	8,396,706	8,012,203	8,032,892
REPRESENTED BY:			
Assets			
Intangible assets	1,418,955	1,428,165	1,432,035
Properties	1,220,686	1,823,253	1,284,687
Equipment	188,409	139,945	131,128
Right-of-use assets	86,360	117,375	112,158
Financial investments	24,014,468	25,186,734	25,634,927
Receivable arising from reinsurance	206,306	188,683	320,487
Receivable arising from direct insurance	960,687	954,150	577,646
Reinsurer's share of insurance liabilities	3,390,360	2,843,507	2,739,290
Deferred acquisition costs	108,525	155,562	128,529
Other receivables	529,685	543,734	445,639
Deferred income tax	201,052	221,557	230,766
Current income tax	88,736	38,778	30,882
Investment property held for sale	633,250	125,000	660,000
Cash and cash equivalents	5,960,185	4,433,946	4,493,680
Total assets	39,007,664	38,200,389	38,221,854
Liabilities			
Long-term policyholder liabilities	19,602,285	19,598,667	19,955,727
Insurance contract liabilities	3,258,774	3,379,839	3,373,865
Investment contracts with discretionary participation features	4,234,539	5,503,549	4,889,658
Investment contracts liabilities	12,108,972	10,715,279	11,692,204
Short-term insurance liabilities	3,944,977	3,320,911	3,598,041
Outstanding reported claims	3,287,285	2,697,973	2,965,871
Incurred but not reported	657,692	622,938	632,170
Unearned premium reserve	3,742,415	3,876,454	3,158,674
Finance liabilities	88,394	112,582	109,792
Creditors arising from direct insurance	480,184	537,375	493,243
Creditors arising from reinsurance	1,034,923	759,101	531,432
Other liabilities	880,301	880,530	1,212,115
Deferred income tax	835,842	1,086,338	1,064,840
Current income tax	1,637	16,228	65,098
Total liabilities	30,610,958	30,188,186	30,188,962
Net assets	8,396,706	8,012,203	8,032,892

Summary Consolidated Statement of Cash Flows

	30 Jun 2020 Shs'000	30 Jun 2019 Shs'000	31 Dec 2019 (12 months) Shs'000
Cash used from operations	851,041	1,051,276	(1,013,999)
Net interest received	231,125	224,517	350,840
Finance costs	(6,572)	(6,186)	(13,272)
Income tax paid	(281,818)	(291,157)	(487,410)
Net cash generated from operating activities	793,776	978,450	(1,163,841)
Cash earned/(used in) investing activities	694,127	(2,764,974)	(222,374)
Cashflows used in financing activities	(21,398)	(20,453)	(361,028)
Net increase/(decrease) in cash equivalents	1,466,505	(1,806,977)	(1,747,243)
Cash and cash equivalents at the beginning of the year	4,493,680	6,240,923	6,240,923
Cash and cash equivalents at the end of the period	5,960,185	4,433,946	4,493,680

Summary Consolidated Statement of Changes in Equity

	Share capital Shs'000	Share premium Shs'000	Revenue and other reserves Shs'000	Non-controlling interests Shs'000	Total Shs'000
At 1 January 2020	535,707	1,490,480	5,742,081	264,624	8,032,892
Total earnings for the period			309,608	23,472	333,080
Other comprehensive income					
Loss on revaluation of owner-occupied property	-	-	(36,872)	-	(36,872)
Change in long term policyholder insurance liabilities, application of shadow accounting	-	-	36,929	-	36,929
Recognition of deferred income tax on revaluation of owner occupied property	-	-	(14)	-	(14)
Foreign currency translation	-	-	18,415	12,276	30,691
Total other comprehensive income			18,458	12,276	30,734
At 30 June 2020	535,707	1,490,480	6,070,147	300,372	8,396,706

Message from the Board of Directors

The COVID-19 pandemic in 2020 has introduced new challenges to businesses and society across the world. Liberty Kenya has proactively responded to the humanitarian crisis and taken measures to address the concerns of our clients, advisers and staff.

Our main objectives in dealing with the crisis remain, first and foremost, to continue to prioritise the health and safety of our employees and partners to ensure we remain open for business providing undisrupted service and support to our clients. Most of our employees and intermediary partners have continued to work from home since the start of the pandemic with a significant increase in the adoption of digital channels. Timely action was also taken to put various support measures in place to ensure the sustainability of our adviser practices.

The Group's operational results for the six months were materially impacted by the pandemic in various ways. Investment market impact aside, the Group's operating subsidiaries have evaluated the likely near-term impact on the group's mortality, lapse and expense exposures and have created, as deemed appropriate, "pandemic reserves". These reserves have been created to accrue for the expected outcomes under policyholder contract obligations and associated insurance contract liability reserving.

Besides the creation of pandemic reserves in both Liberty Life Kenya and Heritage Kenya, the adverse equity market movements had a major impact on the life insurance book.

Liberty Life established a COVID-19 pandemic reserve net of tax of KShs 113 million, whilst the projected impact for Heritage Kenya has been assumed to be lower and its reserve is KShs 14million, also net of tax.

Conversely, the reduction in Corporate tax rate to 25% has benefited earnings with a positive deferred tax release impact of Kshs.146m. The reported earnings includes the above reserves and the release of deferred tax which, if excluded from the result, would reflect normalised earnings for the period of KShs. 314 million.

Our interim results clearly reflect the challenges COVID-19 has brought in terms of claims experience, reduced customer business activity levels, materially lower asset values in the equity class and additional expenditure on operational readiness and risk management initiatives. As the full impact of the pandemic continues to evolve and the full impacts remain very uncertain any dividend recommendations remain in abeyance.

Notwithstanding the challenges of the environment, the Group remains on track to execute its strategy, taking advantage of increased focus on digitization and new ways of working.

The Operating subsidiaries are well capitalized, with emphasis on attaining and exceeding the regulatory capital adequacy requirement.

P Odera
Chairman

M du Toit
Managing Director

R Shah
Director

C Kioni
Company Secretary